

ASCII MASTER FLOW – PANEL 1/12: Claim-priority waterfall

ISSUER CASH FLOW

-> CONTRACTUAL DEBT SERVICE

-> BONDHOLDER PRIORITY

-> EQUITY RESIDUAL RETURN

MUST REMEMBER: Bonds, equity, derivatives, mutual funds, ETFs, AIFs and pension products...

ASCII MASTER FLOW – PANEL 2/12: Bond pricing board

COUPON -> contractual rate

YIELD -> market-price-based return

YIELD RISE -> fixed bond price generally falls

DURATION + CONVEXITY -> sensitivity detail

ASCII MASTER FLOW – PANEL 3/12: Credit-risk decomposition

BENCHMARK YIELD

+ DEFAULT PREMIUM

+ LIQUIDITY PREMIUM

+ OTHER RISK PREMIA -> CREDIT SPREAD

ASCII MASTER FLOW – PANEL 4/12: Derivative obligation fork

FUTURE -> symmetric buyer/seller obligations

OPTION BUYER -> right, not obligation

OPTION WRITER -> contingent obligation

SWAP -> exchange cash-flow streams

ASCII MASTER FLOW – PANEL 5/12: Purpose test

PRE-EXISTING EXPOSURE?

YES -> hedge size and tenor

NO -> speculative exposure

SAME CONTRACT can reduce or enlarge risk

ASCII MASTER FLOW – PANEL 6/12: Clearing and leverage rail

POSITION

-> MARGIN + MARK-TO-MARKET

-> CLEARING CORPORATION

RESIDUAL -> basis, liquidity and leverage risk

ASCII MASTER FLOW – PANEL 7/12: Pooled-vehicle map

MUTUAL FUND -> pooled mandate + NAV

ETF -> exchange-traded fund unit

AIF -> privately pooled category framework

REIT / InvIT -> property / infrastructure cash flows

ASCII MASTER FLOW – PANEL 8/12: Access instruments board

P-NOTE -> offshore instrument via registered FPI

IIB -> inflation-linked payout or principal

CONVERTIBLE -> debt with equity conversion terms

BETA -> relative market volatility

ASCII MASTER FLOW – PANEL 9/12: Tokenisation boundary

UNDERLYING REAL-WORLD ASSET

-> DIGITAL TOKEN REPRESENTATION

ACCESS may become fractional

TITLE + CUSTODY + DISCLOSURE remain decisive

ASCI MASTER FLOW – PANEL 10/12: Use-of-proceeds taxonomy

GREEN BOND -> environmental projects

SOCIAL BOND -> social projects

SUSTAINABILITY BOND -> both

LABEL does not eliminate credit risk

CLOSE DISTINCTION: Bondholder is not owner, dividend is not contractual interest, futures...

ASCII MASTER FLOW – PANEL 11/12: Investor-protection stack

DISCLOSURE + PRODUCT LABELLING

REGISTERED ADVISERS + INTERMEDIARIES

MARGIN + SETTLEMENT + GRIEVANCE

LIMIT -> business and market loss remain

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify legal claim, payoff,...

ASCII MASTER FLOW – PANEL 12/12: Securities answer spine

CLASSIFY claim and cash-flow priority

MAP liquidity promise and leverage

TRACE regulator and settlement

MATCH instrument to investor exposure